"3 Types of Engagements"

Benefits

- **How it helps the business owner:** It ensures that business owners receive comprehensive support that looks at both the causes and the effects of their business events, resulting in better outcomes rather than just being up-sold.
- **How it helps the advisor:** It provides a clear framework for categorizing client engagements into Advice, Facilitation, or Education, while extending the engagement arena without relying on high-pressure sales tactics or "hydraulicing" the client for fees.
- **Who it may be suitable for:** Advisors and advisory teams looking to systematize their service offerings and maximize their value around specific client events, such as a loan drawdown.

How to Use the Material in Practice

1. **Identify the Engagement Type:** First, categorize the client's need based on the engagement driver: a clear consequence (Advice), a trigger event (Facilitation), or a knowledge gap (Education).
2. **Determine the Central Event:** Pinpoint the specific event the client is facing, for example, a loan drawdown.
3. **Execute the "Pre" (Cause) Strategy:** Before the event occurs, examine the client's chart of accounts or working capital requirements, utilize a revenue model to check loan feasibility, or review financial systems for business shrinkage.
4. **Execute the "Post" (Effect) Strategy:** After the event, schedule at least one or two management meetings to discuss opportunities and threats, develop relevant KPIs, and explore tax, risk, and structure implications.
5. **Maintain Ethical Delivery:** Ensure your primary goal remains focused on doing the job properly to achieve better client outcomes, intentionally avoiding over-selling.

Common Q&A

- **Q: What are the three core types of engagements an advisor will secure?** A: The three types are Advice, Facilitation, and Education.

- **Q: What is the required delivery imperative when providing "Advice"?** A: The delivery imperative for Advice is "Accuracy".

- **Q: How does the "Look Both Ways!" framework work?** A: It extends the engagement arena by looking at the "Cause" (Pre-event actions) and the "Effect" (Post-event actions) surrounding a specific business event.

- **Q: What is an example of a "Post-event" action?** A: Developing group or division KPIs to improve focus, or including management meetings to discuss opportunities and threats.

- **Q: Is extending the engagement designed to generate higher fees?** A: No, it is not about up-selling or "hydraulicing" the client for greater fees; it is strictly about doing the job properly to ensure better client outcomes.

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Benefits

- **How it helps the business owner:** It protects the client from being overwhelmed by too much information at once (avoiding the "feeding a baby steak" scenario), ensuring they receive tailored guidance—whether that is accuracy, emotional unlocking, or chunked learning—that helps them safely transition their behaviors.

- **How it helps the advisor:** It explains why firms struggle to transition to advisory roles and helps advisors organize their teams by assigning staff to specific engagement types based on their strengths (technical advice vs. facilitation vs. education).

- **Who it may be suitable for:** Accounting or advisory firms that are struggling to transition their clients into advisory services because they are treating every engagement as standard advice.

How to Use the Material in Practice - Step by Step

1. **Assess the Client's Position:** Determine if the client already understands their problem (Advice), if they don't know what they don't know (Education), or if they need to change entrenched behaviors (Facilitation).
2. **Deliver Advice Hierarchically:** If the client faces a clear consequence and needs advice, step into a hierarchical position and deliver an accurate solution; recognize that selling is usually unnecessary here because the client has already accepted the issue.

3. **Facilitate via Trigger Events:** If facilitating behavioral change, use a combination of global relevance and a local reference to create a "trigger event". Remain professionally detached to help the client unlock their emotional attachment to old habits.

4. **Implement a Long-Term Structure:** When facilitating, introduce a visible 6-to-12-month plan so the client understands the full scope of the interrelated topics and does not bail out when the process gets challenging.

5. **Educate Using Chunking and Feedback:** For clients with knowledge gaps, deliver information in logical, sequential pieces ("chunking"). Use a feedback loop to discover exactly what the client is missing so you can provide the exact right piece of information.

6. **Align Your Team:** Review your team's strengths and assign them to roles based on this framework—routing technical experts to Advice, empathetic guides to Facilitation, and strong communicators to Education.

Common Q&A

- **Q: Why do firms struggle so much to transition to advisory services?** A: They struggle because they try to treat every client and every engagement the exact same way, treating everything as if it were standard advice.
- **Q: What happens if an advisor provides too much information to a client at once during facilitation?** A: The client becomes overwhelmed, which leads them to either go into avoidance (ignoring the issue) or become overly assertive (stubbornly continuing their old habits).
- **Q: What is required to create a "trigger event" for a client?** A: A trigger event requires both a global reference (the big picture reasons) and a local reference (a personal, immediate impact) to prompt behavioral change.
- **Q: Why is it crucial to use a structured 6-to-12-month program in facilitation?** A: Without a structured program that the client buys into from the start, they may feel threatened and abandon the process halfway through when things get difficult.
- **Q: How should advisors view the "feedback loop" during an education engagement?** A: Instead of using it for negative judgment or assessment, advisors should use the feedback loop as a tool to identify exactly what the client doesn't know and where their knowledge gaps are.
- **Q: Does an "Advice" engagement require a heavy sales process?** A: No, an advice engagement generally has no selling process because the client is already 90% of the way through the buying process, comprehends the consequence, and simply desires a clean outcome.